COURSE

IB Diploma Programme Business management SL

Costs and revenues

Unit 3: Finance and accounts · 3.3 Costs and revenues; 3.4 Final accounts

Revision for Unit 3: Finance and accounts: each firm works it out on its own deals.

Class **IB Business Management SL** Topic **Costs and revenues**

THE LESSON

Setup	3 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Variable unit cost**	TASK 2 **Why profit fell**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 3 **Statement in order**	TASK 4 **Profit after tax**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 5 **Costs or revenue**	TASK 6 **Profit next year**	**B2B deal**

Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Split the costs.

Variable cost per car?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Total costs, a month	**£52,350**
Fixed costs, a month	**£4,750**
Cars sold	**4 cars**

METHOD

Variable cost per car = (total costs – fixed costs) ÷ cars

(£52,350 – £4,750) ÷ 4 = £11,900

Why: Take the fixed costs off first. Then share the rest between the cars.

Task 2

ROUND 1

Revenue rose 10% this year, but profit fell.

Which two could explain this?

PICK TWO

- ✔ **Fixed costs jumped this year**
- ○ More cars sold at the same margin
- ○ Overheads fell
- ○ Prices were raised
- ✔ **Variable costs rose faster**

Why: Profit falls when costs grow faster than revenue.

Task 3

ROUND 2

You read your income statement from the top.

Put these in order, top first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Revenue**
2. **Gross profit**
3. **Operating profit**
4. **Profit for the year**

Why: Revenue less cost of sales, then overheads, then interest and tax.

Task 4

ROUND 2

Year-end figures.

Profit after tax for the year?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Gross profit	**£73,000**
Overheads	**£40,500**
Interest paid	**£1,000**
Tax on the profit	**25%**

METHOD

Profit after tax = (gross profit – overheads – interest) – tax

£73,000 – £40,500 – £1,000 = £31,500; – 25% = £23,625

Why: Tax is taken from the profit after interest: £7,875.

Task 5

ROUND 3

Revenue is £200,000 and costs £180,000. Raise prices so revenue rises 5%, or cut costs 5%?

Which raises profit more, and why?

PICK A OR B AND GIVE A REASON

- ○ Cut costs by 5%
- ✔ **Raise revenue by 5%**

Why: 5% of £200,000 is £10,000; 5% of £180,000 is £9,000.

Task 6

ROUND 3

Next year's plan.

Profit next year? Minus allowed.

WORK OUT THE NUMBER · EXAMPLE FIGURES

Revenue	**£105,000**
Revenue rises by	**20%**
Costs	**£66,000**
Costs rise by	**25%**

METHOD

Profit = revenue after the rise – costs after the rise

£126,000 − £82,500 = £43,500

Why: Revenue and costs both change. Work out each new figure first.

Final questions

6
questions for each pupil

109
Level 3 Business questions

2
of them on costs and revenues

The game draws 6 of the 109 Level 3 questions; these 2 are about costs and revenues.

1 A car supermarket records revenue of £1,260,000 and cost of sales of £945,000. What is its gross profit?
£315,000.

2 A workshop pays £14,000 a month in rent and salaries plus £38 of parts per service. With 250 services, what are total costs?
£23,500.